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Exam-Paper

ETHICAL LEADERSHIP

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Introduction

Ethical leadership has become an increasingly important topic in contemporary business, particularly in industries such as food production where decisions directly affect consumer health, environmental sustainability, and societal well-being. At the same time, firms operate under strong pressure to remain profitable and competitive. This creates a central tension that this paper seeks to explore: can leaders act ethically while also achieving strong financial performance? More specifically, by combining theoretical insights with empirical evidence, this paper aims to examine whether ethical leadership and profitability can coexist in the food industry, and how leaders navigate potential trade-offs between moral responsibility and economic success.

Theoretical Constructs

The core of the analysis is based on well-established authors in leadership research, such as Northouse (2022), Treviño et al. (2000), and Brown et al. (2005). These sources are complemented by broader literature reviews (e.g., Monahan, 2012) and more recent contributions, including Rossouw (2023) and applied perspectives such as Harvard Division of Continuing Education (2024), which help to have a more nuanced understanding of the topic. The combination of classic and contemporary sources used in this paper ensures both theoretical depth and up-to-date perspectives, particularly in relation to current business challenges and societal expectations.

The literature provides a strong and credible foundation for analysis. There is a high level of agreement across sources regarding the core ideas of ethical leadership, suggesting that the theory is well established and supported by consistent empirical findings. However, while the volume of research is significant, the theory is not always presented in a fully unified or concise manner. Ethical leadership is often approached from multiple angles and integrated with related leadership theories. This reflects the complexity of the topic rather than a lack of research, but it also means that the theory requires careful interpretation when applied to specific contexts.

Case Leader

For our case leader, we chose Indra Nooyi because she represents a highly relevant figure for examining the relationship between ethical leadership and profitability in the food industry. She served as CEO of PepsiCo for 12 years (2006–2018), becoming the first woman of color

and immigrant to lead a Fortune 50 company (Johnson, 2022). Nooyi is widely recognized for her transformational and democratic leadership style. Her approach reflects key elements of ethical leadership, including transparency, stakeholder orientation, and a focus on broader societal impact. This is exemplified by her “Performance with a Purpose” strategy, which aimed to align financial performance with social responsibility through healthier products, environmental sustainability, and employee well-being (Johnson, 2022). Her leadership was also strongly people-oriented, as shown by practices such as writing letters to employees’ families, highlighting empathy, recognition, and work-life balance (Sharma, 2021). Indra Nooyi's leadership can further be understood through the lens of ethical leadership as a dual construct, combining both moral character and ethical managerial practices. While her personal values position her as a “moral person”, her strategic initiatives demonstrate her role as a “moral manager”. However, her case also highlights key tensions, particularly the challenge of balancing shareholder expectations with long-term societal goals. This makes her leadership a compelling case for analyzing how ethical leadership is both conceptualized in theory and implemented in practice.

Interviewed Leader

We interviewed one of the CEOs of an Austrian-based food company (see Appendix E and F), that focuses on healthy snack options for children. For reasons of anonymity, we will not mention either his name or the name of the company. Prior to founding their current company, he and his co-founder worked for a different large organization within this sector.

In 2020, they established the startup with the aim of creating snacks that are both appealing to young children and meet parents’ expectations in terms of health and quality. Today, it employs around 15 people. Their products are currently available in approximately ten countries, with particularly strong growth in Austria, Germany, and Switzerland. The organization primarily targets children, which is reflected in its marketing strategies, including the use of colorful visuals and popular movie characters. This growth trajectory is also evident in its financial performance, with projected revenues of approximately €14 million in 2025 according to the company's website.

Discussion

To understand whether ethical leadership and profitability can genuinely coexist, it is first necessary to establish what the theory says, and where it remains incomplete or contested.

Ethical Leadership as A Dual Concept

Northouse (2022) explains that leadership is a moral process because it involves shaping values, influencing people, and making decisions that affect others. What makes leadership ethical is not just what a leader does, but also who they are. This dual nature - character and conduct - runs through most theoretical frameworks in this field. This dual concept was also evident during our interview. The CEO was particularly mindful of his obligations toward both employees and customers, viewing it as a moral imperative. This is reflected in the companies approach, as he explains: *"…doing not only the things that are legally correct or when it comes to revenue, the right thing, but also aligned with our long-term responsibility, […] when it comes to fairness, transparency towards our customers and also our employees, we […] found another way than some other companies."* (line 16-19). The leaders prioritize building strong, respectful partnerships with their customers, as well as fostering an appreciative and supportive environment for their employees. For example, they provide free meals in the office and organize numerous team-building activities.

Treviño et al. (2000) distinguish between the "moral person" and the "moral manager." A moral person acts with honesty and integrity, while a moral manager actively promotes ethical behavior through leadership practices such as role modelling, communication, and reinforcement. Both are essential: personal virtue alone has limited impact, and promoting ethics without embodying it undermines credibility. The case of Indra Nooyi provides a concrete illustration of the interaction between those dimensions: while her integrity and authenticity position her as a "moral person", her role as a "moral manager" is reflected in initiatives such as "Performance with a Purpose" and the reclassification of products into "fun for you", "better for you", and "good for you", aimed at promoting healthier consumption (Talks at Google, 2021).

Domains of Ethical Theories

The field draws on three different approaches to making decisions regarding moral conduct and character (Northouse, 2022; Yukl, 2006; Appendix A). Teleological (consequentialist) approaches evaluate the morality of decisions by their outcomes - most commonly through

utilitarianism, which asks what course of action produces the greatest good for the greatest number. Deontological approaches, by contrast, focus on moral duties and principles: a leader should be honest and fair because it is the right thing to do, regardless of consequences. Finally, virtue ethics, rooted in Aristotle's philosophy, shifts the focus to the leader's character: ethical behavior is the result of cultivated moral habits, not of calculating outcomes or following prescribed rules.

In the interview, the startup's leader unconsciously reflects all three ethical approaches, though virtue ethics clearly dominates their leadership philosophy. The CEO describes ethical leadership as *„very intrinsic driven, very naturally"*, a deeply ingrained mindset rather than a calculated strategy (line 9-10). Their commitment to respect, honesty, and fairness toward employees and customers is instinctive, as highlighted: *"…it's (ethical leadership) maybe difficult to learn if you don't have it kind of in you"* (line 27). Deontological elements emerged in their adherence to principles like transparency and fairness, even at a cost. For example, they reject unhealthy products *„because it wouldn't fit our company"* prioritizing duty over profit (line 197-198). Teleological reasoning appeared in their pragmatic balancing of sustainability and affordability: *„We try to find the middle way"* (e.g., using 100% recycled packaging despite higher costs) (line 239). Here, they seek the greatest good not in short-term gains but in long-term stakeholder well-being, blending utilitarianism with a broader responsibility ethos.

The case of Indra Nooyi shows that different ethical approaches often coexist in practice. Her focus on healthier products and sustainability reflects utilitarian goals, while her emphasis on integrity aligns with virtue ethics. At the same time, her resistance to short-term profit pressures suggests deontological principles.

Grey Areas in Ethical Leadership

Monahan (2012) notes that ethical leadership can be difficult in real-world settings: the "grey areas" where all the frameworks produce conflicting guidance. The Regent University literature review found that most serious ethical failures in organizations - from Enron's financial fraud to everyday misconduct - occurred not because leaders lacked rules to follow, but because they lacked the moral reasoning to navigate ambiguity (Monahan, 2012).

Our interviewed CEO also mentioned these *"grey areas"*. The leaders face certain dilemmas, such as sustainability vs. cost, health vs. taste, and transparency vs. competition. For instance,

when faced with the tension between health and market demand, the CEO acknowledges: *„the unhealthier products sell much better than our healthy ones" (line 179-180).* Similarly, on sustainability vs. affordability, they recognize extremes are impractical: *„If you have the best and most sustainable product […] no one would buy it anymore because they're getting too expensive" (line 187-188).*

Ethical Leadership and Related Leadership Theories

Ethical leadership overlaps with transformational, servant, and authentic leadership theories. Transformational leadership (Burns, 1978; Bass &Avolio, 1994), focuses on inspiring followers to pursue a shared higher purpose. Its ethical dimension lies in promoting values such as justice and fairness. Research shows strong overlap between transformational and ethical leadership (Frank, 2002; Bass & Avolio, 2000), but without a genuine ethical foundation, it can become manipulative or self-serving (Northouse, 2022). Our interviewed CEO exemplifies this by motivating everyone involved to focus on health, fairness, and sustainability, in addition to profits. The CEO's honest, natural approach (*„very intrinsic driven, very naturally", line 9-10*) makes sure their leadership is real, not just for show. Indra Nooyi's leadership shows the link between ethical and transformational leadership, but also its potential limitations. Her focus on healthier products and sustainability aligns with the core principles of transformational leadership, particularly the emphasis on vision and long-term change. However, the resistance she faced from activist investors reflects the tension between visionary change and immediate financial expectations. This suggests that while transformational leadership can support ethical goals, it may also expose leaders to increased scrutiny and opposition when ethical initiatives challenge established profit models (World Finance, n.d.).

Servant leadership (Greenleaf, 1977) prioritizes the needs of others, focusing on empathy, humility, and stakeholder well-being (Northouse, 2022). For the profitability question, the servant leadership model suggests that prioritizing people over short-term profit is not a weakness but supports long-term sustainable success. Research shows that such leaders build stronger reputations, higher employee engagement, and greater customer loyalty, which contribute to a long-term competitive advantage (Greenleaf, 1977; Brown et al., 2005).

Authentic leadership emphasizes self-awareness, transparency, and an internalized moral perspective (Avolio & Gardner, 2005). It distinguishes genuine ethical behavior from image

management and is increasingly valued by younger generations (Harvard Division of Continuing Education, 2024).

Core Principles of Ethical Leadership

Northouse (2022) identifies five core principles that characterize ethical leadership across contexts (see Appendix B): respect (treating followers as autonomous individuals worthy of dignity, not merely as instruments of the leader's goals), service (prioritizing others' needs altruistically), justice (ensuring fairness and equal treatment for all), honesty (being truthful and transparent, neither misrepresenting reality nor evading accountability), and community (promoting the common good beyond the organization's immediate interests).

While Indra Nooyi's leadership reflects many of the core principles identified by Northouse (2022), her case also highlights important contradictions in their application. For instance, her initiatives promoting diversity, equity, and employee well-being clearly align with the principles of respect and justice. Similarly, her commitment to sustainability and healthier products reflects the principles of service and community. However, the continued reliance on products associated with negative health outcomes raises questions about the consistency of these principles across all aspects of the business. This suggests that ethical leadership may not always be applied uniformly, but rather selectively, depending on strategic and financial constraints. Such inconsistencies challenge the assumption that ethical principles can be fully integrated into complex global organizations (World Finance, n.d.).

In the company of our interviewed leader, we could see that ethical leadership is largely practiced, with respect seen as a fundamental baseline, honesty and fairness as essential but sometimes challenging in practice, and serving others reflected in strong collaboration with stakeholders. Building community is not treated as a direct goal but emerges naturally as a result of consistently applying these principles (line 97-190).

From Individual Character to Organizational Culture

Ethical leadership extends beyond individuals, shaping the entire organization. According to Brown et al. (2005), it involves demonstrating and promoting ethical behavior through actions, communication, and decision-making. Social learning theory explains that employees adopt the values modeled by credible leaders (Bandura, 1977). Empirical evidence, such as Mayer et al. (2009), confirms this "trickle-down" effect, where ethical leadership influences behavior at all levels, from executives to front-line staff.

In our interview, we also observed that ethical leadership has a significant impact on corporate culture, as the CEO described a very open corporate culture where employees even discuss personal challenges from home (line 78-79).

Indra Nooyi also provides insight into how ethical leadership shapes organizational culture, notably through “Performance with Purpose”, which embedded ethical considerations into PepsiCo’s strategy and operations. However, the sustainability of such transformation remains uncertain after a leader’s departure, particularly in large corporations that rely on formal structures and continuous reinforcement to uphold ethical standards. While PepsiCo’s 2025 Sustainability Report indicates some continuity beyond Nooyi’s tenure, the long-term durability of these changes ultimately depends on sustained leadership commitment and institutional support (PepsiCo, 2025).

Can Ethical Leadership and Profitability Coexist?

The literature suggests that ethical leadership benefits organizations in the long term by improving reputation, employee engagement, customer loyalty, and performance (International Journal of Economics, Business and Management Research, 2024; Mayer et al., 2012). While ethical decisions are not always the most profitable (Enderle, 1987, as cited in Monahan, 2012), leaders can rely on moral principles (Kohlberg; Peter G. Northouse, 2022) and supportive structures (Rossouw, 2023). As markets increasingly reward ethical behaviour, ethics and profitability can reinforce each other (Harvard Division of Continuing Education, 2024).

PepsiCo experienced significant financial growth under Indra Nooyi leadership, suggesting that ethical initiatives and economic performance can coexist. However, investments in healthier products and sustainable practices often involved higher costs, leading to criticism from investors. This tension highlights a key limitation in the assumption that ethical leadership naturally leads to better financial outcomes (Farnam Street, n.d.).

The interview with a former startup CEO revealed that ethical leadership, especially resolving dilemmas through a balanced "middle way", can drive financial success. Furthermore, an ethical leadership style can strengthen the marketing strategy by presenting a consistent and credible image, offering healthy food for children while demonstrating genuine care for both employees and customers.

Summary & Conclusion

This paper examined whether ethical leadership and profitability can coexist in the food industry. Drawing on established theory and two empirical cases, Indra Nooyi at PepsiCo and an Austrian CEO, the analysis suggests that the two are not inherently opposed, though their coexistence requires deliberate, sustained effort.

Grounded in the work of Northouse (2022), Treviño et al. (2000), and Brown et al. (2005), ethical leadership emerges as a dual construct, combining the "moral person" and the "moral manager", underpinned by the principles of respect, service, justice, honesty, and community. In practice, leaders draw on all three ethical domains (teleological, deontological, and virtue ethics), with virtue ethics typically dominant, as seen most clearly in the interviewed startup CEO.

Ethical leadership also overlaps significantly with related leadership theories. Transformational leadership shares its emphasis on inspiring a shared higher purpose and driving long-term change, as illustrated by Nooyi's visionary strategy, though without a genuine ethical foundation, it risks becoming self-serving (Northouse, 2022). Servant leadership reinforces the idea that prioritizing people over short-term profit supports sustainable success through stronger reputation and employee engagement (Greenleaf, 1977). Authentic leadership further complements this by stressing self-awareness and transparency, distinguishing genuine ethical behaviour from mere image management (Avolio & Gardner, 2005).

Both cases confirm that ethical and financial objectives can be pursued simultaneously, though not without tension. Nooyi's "Performance with Purpose" strategy demonstrated that long-term investments in health, sustainability, and employee well-being can align with strong financial results, yet persistent pressure from short-term shareholder expectations highlights the structural constraints facing ethical leaders in large organizations. The startup CEO navigated similar dilemmas through a pragmatic "middle way", prioritizing long-term stakeholder well-being over immediate profit.

In answer to the central research question: ethical leadership and profitability can coexist, particularly when ethical values are embedded into organizational strategy rather than treated as peripheral. This alignment is more readily achieved in the long run than the short term, and as markets increasingly reward transparency and social responsibility, moral responsibility and economic success prove to be mutually reinforcing over time.

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Disclaimer: An AI tool (ChatGPT) was used to assist with the stylistic refinement of this text.

Appendix

Appendix A – Domains of Ethical Theories (Northouse, 2022)

Conduct	Character
Consequences (teleological theories) • Ethical egoism • Utilitarianism	Virtue-based theories
Duty (deontological theories)	

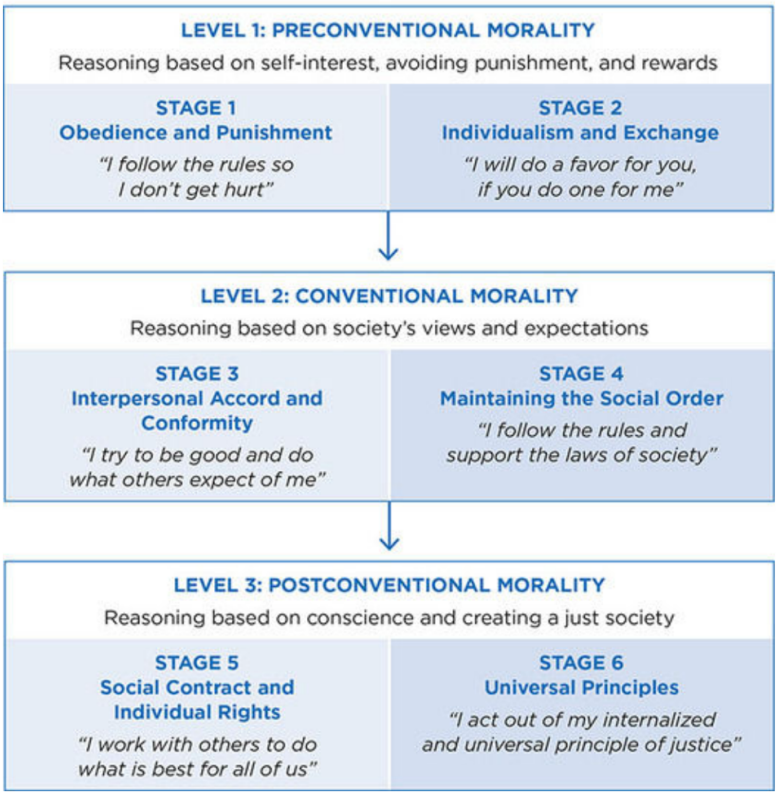
Appendix B – Principles of Ethical Leadership (Northouse, 2022)



Appendix C - Governance of Ethics Framework (Rossouw, 2023)



Appendix D – Kohlberg's Stages of Moral Development (Northouse, 2022)



Appendix E – Semi-Structured-Interview Guideline

1. We would like to start very broadly... What comes to mind when you hear the term “ethical leadership”?

2. What do you think, which characteristics or behaviors of leaders shows good ethical leadership practice?
    a. There are these 5 Principles of Ethical Leadership (Respect Others, Serves Others (prioritizing team needs > individual needs), Being fair, Honest & transparent and Builds Community (support working together)).
    b. Which of these 5 Principles do you think is the most important one, and why?

3. Do you think ethical leadership is important for a company like yours? Why (not)?
    a. Do you ensure that ethical principles are embedded your organizational culture? If so, how?

4. Which ethical challenges do you as the CEO of [redacted] face today?
    a. Can you think of one situation, where you as leader of [redacted] faced an ethical dilemma, for example where ethics and business interests conflicted? Can you tell us a little bit about the problem and also how you handled it?
    b. Looking back on the years you've worked as a leader, is there a moment when you truly felt your leadership made a moral difference (genuinely good outcome for people)?
    c. Situation in mind where you would act differently now?
5. Are there any other questions you were expecting today, or any other remarks you would like to give about your work and ethical leadership experiences?

Note: Due to anonymizing reasons, the name of the company was blackened.

Appendix F – Transcript Interview 19/03/2026

Interviewer A

So we would like to start very broadly.

What comes to your mind when you hear the term ethical leadership?

Participant (CEO of startup)

So first of all, of course, the definition comes in mind.

But secondly, for me personally comes in mind is that

In our case, I think ethical leadership at our company [Company Name] is very, very intrinsic driven, very naturally because I think that it combines a lot of things that we saw in our jobs before that we didn't like and we kind of do it another way now.

So my co-founder [Name of Co-Founder] and I worked with the same company before and

We saw a lot of good things there.

We also saw a lot of things that we didn't like that much and we wanted to change.

And it's very much connected to ethical leadership.

So doing not only the things that are legally correct or when it comes to revenue, the right thing, but also aligned with our long-term responsibility, concerning with the

when it comes to fairness, transparency towards our customers and also our employees, we kind of found another way than some other companies.

Interviewer B

Okay, that's already very helpful.

Do you think there are certain characteristics or behaviors that leaders

can have or show to be a better ethical leader?

Do you know there's, do you think there's any specific ones?

Participant

I think, I mean, thinking about the leadership and what it means in total,

I first of all had in mind that it's maybe difficult to learn if you don't have it kind of in you.

So for us, for example, it was from the beginning very important to do the right things for our employees, which is also the right for our company, of course.

to have employees in a long-term collaboration with them.

So you have to have a long-term in the company and also really get the right high-qualified people.

So that's kind of, therefore, it's kind of important to do several things that belong to ethic leadership.

The second thing is towards our customers.

And of course, I'm only talking about the experiences that I made or we made with our company.

I had, to be honest, nothing to do with the term ethical leadership before.

But when I think of the things that we naturally do in our company, you can sort them under ethical leadership.

And

I think they are quite important for us, maybe more important than for other companies.

So the second thing, besides the employees, our customers, what we learned, especially in our case, is that we have extraordinary good collaboration with our customers, which is not normal in our business.

And we are very, very partnership driven.

So we ask a lot of questions and we do a lot of things that our customers want us to do or have in mind if they want a new product, for example.

And I know that big other companies, they see their goals in the first step and their ideas in the first step and not the ones from the customer.

That's, I think, a very big point in our case.

And of course, also the

all the things that you do for society, for our target group, which is kids, in this case, kids and their parents.

That's kind of special too, of course, because if you want to produce products for kids, especially small kids, you think about it twice or three times more than

for product finance?

Interviewer B

Right, yeah.

So what I'm hearing is that you think this is more of an inherent skill or like behavior you already had and you're using it in your role as a leader.

Do I understand that right?

Participant

Yes, in our case, yes, that's a fact, definitely.

So we had no strategy when we started to have, I mean, we never talked about the ethical leadership, by the way, but we had the things in mind that we wanted to do.

So we do a lot of activities together with all of our employees.

We have food in our office.

So a lot of things that are, I think, also very attractive to employees.

And I think a lot of things that are kind of basic for us, so to treat everybody equally and all these things, that's a no-go in our case.

But I think in big companies, I mean, that's opposite the difference.

In big companies, I think it's really necessary to have these rules written down somewhere so that everybody

knows about that.

It's easier for us with only 13 people.

We are very, very close to each other and very personally interaction.

And we always often talk about the problems that we have with our own kids and these things because most of our team have two kids at home.

So the private things we talk about are very similar.

So I think there's a lot of understanding for the problems and the challenges that everybody has.

When the kids are ill at home, of course, okay, doing home office or going home and coming in the next days is no problem for us.

Yeah, as I said, for us, that's all things that we didn't really think about strategically, but very personally.

Interviewer A

I think then it's more, it sounds very natural, like not having as just as a strategic, but like you really want to do it right.

Interviewer B

Yeah, maybe just doing the right thing and then being an ethical leader is just a result of that, maybe.

Maybe you can show the five principles.

Interviewer A

There are these five principles of ethical leadership.

Maybe you heard of them before in your research.

And maybe not.

But then the theory becomes a bit clearer.

I just show it to you.

Can you see them right now?

Participant

Yes.

Interviewer B

Okay, great.

Yeah, so one of the theories is that ethical leadership has five principles, and you see them here now.

Well, they're respecting others, serving others, so that this is actually prioritizing team needs over individual needs.

being fair and honest, so showing justice, and manifesting honesty, and then building community.

And well, based on this, we were wondering, what do you think about this?

Do you recognize some of them in your own leadership style, or do you think one of them is maybe the most important of them all?

We would like to know your opinion about this.

Participant

I think if I would not recognize at least one of them in my leadership or my leader role, I would have a big problem, I think.

Of course, I see all of them in mind in our leadership role, so in our whole team.

So, as I said, I think some of them should be should be more or less the base of everything.

So, to respect others is so you shouldn't need to think about that, because that's not respecting others.

I think you can can't be in any way a good leader then if you wouldn't do that.

Serving others is, I think, one more step.

And that's what I meant before.

So I think we have, in our company, a very, very strong collaboration, not only in our team, but also with our customers, which also means to serve them the way they want to happen.

So

which doesn't mean to do everything we want, but to serve them in a kind of partnership, they also serve us if we need anything.

So this, of course, also one of our success.

Building community, I think that's more or less

I would see it as a result in our company.

We do the other things correctly.

So being honest, doing justice, showing justice, respecting and serving others in our team, certainly build a strong community, which we also see in our team.

I think there's a lot of involvement for our company and within our team.

Which is, I'm sure, not the case in most of the companies.

But again, building a community is not a strategy, but a result.

Interviewer B

Okay.

Yeah.

So basically, respecting is the baseline and then community is the result and the other things.

are also there.

Participant

I cannot really imagine to have the strategy within the company.

I have to build a community.

So I think you should do a lot of things in the correct way to really get this community done by naturally.

Interviewer B

Yeah, which is interesting because I think a lot of companies have this goal to have a sort of, well,

following or community, but it's very nice that your company has this naturally.

I think that's positive.

Participant

Yeah, maybe you should separate the community from our employees, so in our company, and the one outside, which is the target group for our products, so that the adults and kids, of course, for example, if you have a

social media appearance, of course you want to attract your community on Facebook, Instagram or other platforms.

Interviewer B

Yeah.

Participant

Then it's a strategy.

Interviewer A

I think like respecting others is maybe one of the easiest principles here, but I think always being honest and being transparent and also like showing justice to be fair.

in a way to your employees or between decisions between your employees is maybe more difficult.

How do you ensure that or how is your strategic behind that?

Participant

I mean, honesty is, I think, especially in our team, a very, very important thing.

No, I would say honesty is not only in our team very important, but also towards all other stakeholders, of course, also for our direct customers, which is the retail retail chains, and also the end consumers, the kids, the adults, of course, honesty is very, very important.

As I said, transparency Yes, of course, also within our team, really important.

Too much transparency towards our retail customers is maybe not always the best thing, but at least you should be honest and tell them things they want to know.

they need to know.

I think no company would tell their customers everything about their internal process.

Yes, I think that's some sort of an ethical dilemma maybe.

Yeah, it can be, I think.

I think, yeah, it can be, but for us it's not.

Our customers don't

they don't really ask for full transparency because they are used to not having full transparency in the market.

So we have some other dilemmas, of course, but the transparency one is for us not a dilemma.

For us, it's things like, so sustainability versus affordability of our products or health versus

good taste and good revenue.

So these are the dilemmas that we have, where we always want to find the middle way.

So for example, when our company is called [Company Name], so of course we're doing healthy products for kids, and doing unhealthy things would not be possible.

In some ways or in some product categories, we see, to be honest, that the unhealthier products

sell much better than our healthy ones.

But anyway, our strategy is not to do the unhealthy things then because it wouldn't fit to our company.

But it's every new product, it's kind of middle way, having a product too healthy and no one likes the taste anymore is not possible.

And having it too unhealthy, so added sugar or these things.

also not possible for our company at least.

And same thing for sustainability.

If you have the best and most sustainable product on the market, I think no one would buy it anymore because they're getting too expensive.

You wouldn't get the raw materials, you wouldn't, so you would have a lot of products.

So also in this case, you have to find the middle way.

Interviewer A

Can you think of an ethical dilemma

towards your employees.

An efficient dilemma towards our employees.

Like when it comes to fairness or the payments or...

Participant

Yeah, I mean, of course, payment is always a dilemma.

I think no employees would refuse to get paid more.

And so of course we have, we always have in mind what our company can afford.

So what the revenue and our growth can afford concerning the number of employees and of course also the salary and these things.

You can really think about that.

for a very long time to have this in a fair way for everybody.

And I think that always, also in future, will always be a kind of dilemma.

So there's not one only right and fair way.

And that's why, of course, you talk about that with your employees.

at least once a year.

And then everything also happened in this year and how the company changed, how the employee maybe changed, has to play a role in that discussion.

But yeah, until now I didn't see it as a problem and I still don't see it as a problem.

But of course you could see it as a dilemma, more or less.

Interviewer A

Can you think of any dilemma which comes to your mind, like where you now thinking that you decided or that you now would act differently?

Participant

So a wrong decision that we made and we would...

Act differently.

Interviewer B

Well, maybe not wrong, but maybe you now have a different look on the situation.

Participant

So concerning these dilemmas, I have to think about it.

Interviewer A

You can take your time.

Interviewer B

I was thinking of maybe what you said about sustainability.

Maybe sustainability is like the ethical goal or something, but you also said something about your business interest because if it's too expensive, then no one will buy it.

So maybe you can tell us something about this.

Like how do you, yeah, how do you make the ethical choice in this situation?

Maybe.

Participant

I mean, also concerning sustainability, we are very much depending on our producers.

So we don't produce our products ourselves.

We're doing the recipes and design and these things, but the production itself takes place at our producers.

And of course, they have their standard materials and their standard ways of production.

So there's kind of a limitation when it comes to sustainability.

But at least we try to get the best out of the things they have.

So for example, we already use 100% recycled PET bottles, even if the standard is only 30% recycled PET.

because it's possible already for us, but not the standard.

Or we only use recycled pouches for our fruit pouches that we sell.

There will also be other material.

So we, and we try to challenge our producers.

So for example, we get cereal cereal bars from Switzerland.

We started with that six years ago, nearly.

And five years ago, we started asking about more sustainable material.

And then I think three years ago, we got this material.

And we kept asking, and our producer tested it and made a lot of effort to have a more sustainable material now.

So of course we try, we can use the things that our producers have, and we also challenge them to do more in this direction.

Interviewer B

Sounds good.

Participant

I don't know.

But now, to be honest, I can't think of a dilemma where we decided wrong.

I would do it in another way now.

Maybe we decided in some cases for the wrong producer and would have decided for another one now the wrong.

product category or just the wrong ingredients, but not because of more or less sustainable things and not because of more or less healthy products.

Interviewer A

Okay, decision like that, that appear later as wrong are I think totally normal when you have a company.

Participant

Yes, of course we of course we did a lot of things wrong, we learned out of them, but it's I think it had nothing to do with these dilemmas concerning the ethical leadership part.

strategically, we were not always right, and there it really helped us to have this close collaboration with our customers and to really

listen to them and ask them a lot of questions.

For example, our biggest product category we have at the moment are the fruit pouches.

And when we started our company, we always said, no, we don't need to do fruit pouches because there are so many on the market already.

And that one day, a big Austrian customer told us to start in this category.

It was quite a good idea for us.

It was an important step and of course also therefore we continue to ask a lot of questions to our customers and ask them about their wishes.

Interviewer A

Okay, yeah.

I think we heard a lot about your company and also how you decide.

Do you have something you want to add or something that you want to tell us?

End of official part